

Before the
United States Copyright Office
Library of Congress
Washington, D.C. 20559

In the Matter of:

Section 1201 Study

Docket No. 2015-8

**JOINT REPLY COMMENTS OF THE DVD COPY CONTROL
ASSOCIATION AND THE ADVANCED ACCESS CONTENT SYSTEM
LICENSING ADMINISTRATOR, LLC**

DVD Copy Control Association (“DVD CCA”) and the Advanced Access Content System Licensing Administrator, LLC (“AACS LA”) provide the following comments in reply to various initial comments submitted in this proceeding. Rather than repeat the comments in detail, we have provided short-hand statements of the points that have been made to which these reply comments are addressed. These statements are provided in bold text. The comments are organized based on questions raised by the Copyright Office in its notice of this proceeding.

General

1. Please provide any insights or observations regarding the role and effectiveness of the prohibition on circumvention of technological measures in section 1201(a).

Comments alleging that section 1201(a) is ineffective because piracy persists miss the point. Section 1201 has been crucial to the creation and development of the digital

marketplace, just as Congress envisioned when it passed the Digital Millennium Copyright Act. In that marketplace, content providers are able to offer their high quality content to consumers, and consumers, in turn, are able to enjoy the high quality content in a convenient formats and through business models that more effectively match their demand (e.g., variable-term rentals). But this “bargain” is available only because content providers are able to employ technological protection measures to enforce the terms around these offerings, i.e., the technological protection measures (“TPMs”) discourage consumers from readily copying and redistributing copies of the content, which in the aggregate would threaten the legitimate offerings of this content in the marketplace.

For example, DVDs, the earliest example of digital content being widely distributed, offered consumers high quality content in the improved digital format, which the consumer could enjoy viewing an unlimited number of times. This bargain was possible because the Content Scramble System (“CSS”), a particular TPM, has been employed on the DVDs to ensure that the DVDs would only playback on licensed players that guarded against unauthorized copying and redistribution. In this case, CSS facilitated and enforced the bargain – a consumer could enjoy the high quality content in the improved digital format for an unlimited number of times at a reasonable price, provided the consumer was willing to watch the DVD on a player that was licensed to use CSS, which meant that the content was effectively protected against unauthorized copying and redistribution. Notwithstanding the fact that a well publicized hack of CSS existed, consumers overwhelmingly embraced the opportunity, and the DVD ecosystem– both the discs and products enabling their enjoyment – became the most rapidly successful consumer electronics product in history.

Without the legal backup provided by section 1201, however, TPMs alone would not have been able to create a stable digital marketplace. TPMs are necessarily vulnerable to attack as a technical matter, but the DMCA's prohibition on circumvention tools protected the "bargain" by providing the legal means to fight technical attacks. In so doing, Congress decidedly rejected the "wild west" approach encouraged by DMCA critics in favor of a "rule of law" approach under which the vast majority of products follow the rules laid down by the TPMs and the licenses that enable their use.

For products that circumvent TPMs and do not follow the rules, the DMCA provides an effective legal mechanism to combat the problems. For example, even though a well known hack of CSS existed, DeCSS, the DVD ecosystem flourished because DVD CCA and its CSS content provider licensees could rely on the DMCA to enjoin parties from offering circumventing products in the legitimate marketplace.

The success of the digital marketplace is evident. Other commenters in this proceeding have demonstrated the very broad availability, and consumer response, to the various ways in which digital content has become available. As just one example specific to the products supported by DVD CCA and AACS LA, according to SNL Kagan, sales and rentals of DVDs and Blu-ray discs amounted to \$10.37 billion in 2014. *See* SNL Kagan, *The State of Home Entertainment* at 3 (2015 Edition). These offerings are played by the vast majority of consumers on compliant, licensed products implementing the TPMs used by the distribution channels.

2. How should section 1201 accommodate interests that are outside of core copyright concerns, for example, in cases where circumvention of access controls protecting computer programs implicates issues of product interoperability or public safety?

DVDCCA and AACS LA have no additional comments.

Rulemaking Process

3. Should section 1201 be adjusted to provide for presumptive renewal of previously granted exemptions—for example, when there is no meaningful opposition to renewal—or otherwise be modified to streamline the process of continuing an existing exemption? If so, how?

Proposals to create a presumption of renewability are ignoring the statute and its

legislative history. The statute states that the Librarian’s determination is to be made every three years, based on the facts of each rulemaking:

during each succeeding 3-year period, the Librarian of Congress, upon the recommendation of the Register of Copyrights, . . . shall make the determination in a rulemaking proceeding. . . of whether persons who are users of a copyrighted work are, or are likely to be in the succeeding 3-year period, adversely affected by the prohibition . . . in their ability to make noninfringing uses . . .

17 U.S.C. § 1201(a)(1)(C).

The statute further instructs that any exemptions for the next three-year period are to be the result of the rulemaking.

The Librarian shall publish any class of copyrighted works for which the Librarian has determined, *pursuant to the rulemaking conducted under subparagraph (C)*, that noninfringing uses by persons who are users of a copyrighted work are, or are likely to be, adversely affected, and the prohibition contained in subparagraph (A) shall not apply to such users with respect to such class of works for the ensuing 3-year period.

17 U.S.C. § 1201(a)(1)(D) (emphasis added). Thus, the Librarian must publish exemptions that result from the rulemaking.

Further, the statute obligates the Librarian in the course of the rulemaking to examine specific factors:

In conducting such rulemaking, the Librarian shall examine—

- (i) the availability for use of copyrighted works;
- (ii) the availability for use of works for nonprofit archival, preservation, and educational purposes;
- (iii) the impact that the prohibition on the circumvention of technological measures applied to copyrighted works has on criticism, comment, news

reporting, teaching, scholarship,
or research;

(iv) the effect of circumvention of technological measures on the market
for or value of copyrighted works; and

(v) such other factors as the Librarian considers appropriate.

17 U.S.C. 1201(a)(1)(C). As these factors indicate, in determining that an exemption is warranted, the Librarian must undertake an intensive review of the record developed during each rulemaking period. A presumption of renewability would be inconsistent with the factual question that the Librarian must resolve in each rulemaking.

The legislative history also rejects the idea that a presumption of renewability could exist, since it states that the presumption is that the regulatory prohibition applies. The House Commerce Committee report instructs:

The rulemaking will be repeated on a biennial basis, and on each occasion, the assessment of adverse impacts on particular categories of works is to be determined *de novo*. The regulatory prohibition *is presumed to apply to any and all kinds of works, including those as to which a waiver of applicability was previously in effect*, unless and until the Secretary makes a new determination that the adverse impact criteria have been met with respect to a particular class and therefore issues a new waiver.

H.R. Rep. No. 105-551 at 37 (emphasis added).¹ In fact, the Committee Report actually suggests that a contrary presumption should exist, and that presumption would be overcome by a new determination that the “adverse impact criteria have been met with respect to a particular class.”

¹ The House Commerce Committee version of the legislation would have vested the responsibility of the rulemaking with the Secretary of Commerce, rather than with the Librarian of Congress. However, the shift from the Secretary to the Librarian does not affect the underlying point of the rulemaking and the statements concerning which direction any presumption must take. The statement also shows that the rulemaking was originally intended to be a biennial proceeding. A change later in the conference report made the rulemaking a triennial proceeding.

Thus, there is no basis either in the statute or the legislative history to create a presumption of renewability.

Proposals to change the law to provide a presumption are not necessary. Nor should such a presumption be created in new legislation. As our initial comments stated, DVD CCA and AACS LA believe that a renewal procedure can be achieved under existing statutory authority, through a streamlined procedure where, following a request for a renewed exemption (on terms identical to the one already in effect), the record reveals no meaningful objection.² In that regard, we note that *de novo* simply means that the determination must be newly made in each successive rulemaking. As noted in the above quotation from the House Commerce Committee report, when the House Commerce Committee introduced the rulemaking proceeding into the legislative mix, it instructed that “on each occasion, the assessment of adverse impacts on particular categories of works is to be determined *de novo*.” House Commerce Report, H.R. Rep. No. 105-551 at 37. The Committee went on to explain the adverse impact assessment had to be made again even for those waivers (exemptions) previously in effect. Thus *de novo* means merely that a new determination must be made on each exemption every three years.

We see no reason, however, that a *de novo* determination would necessarily require submission of entirely new evidence. As we explained in our initial submission, if a party submits a request for an exemption identical to one previously granted, and there is no meaningful objection to the renewal, then the requesting party should be able to rely on evidence

² In regard to the lack of objections in certain prior proceedings, the New Media Rights comments suggest that DVD CCA has agreed in some fashion that certain exemptions were appropriate or necessary. This is an incorrect statement of DVD CCA’s positions in the rulemakings. While in a limited number of instances, DVD CCA stated that it would not object to the proposed renewal of an exemption, DVD CCA has never stated that an exemption was appropriate or necessary.

submitted in a prior rulemaking, pointing to it in a manner that effectively incorporates it into the record of the new rulemaking. Such evidence would be understood to continue to be relevant and may be given weight by the Register (and, hence, in the Librarian's decision), given that there is no objection to its use in that way.

4. Please assess the current legal requirements that proponents of an exemption must satisfy to demonstrate entitlement to an exemption. Should they be altered? If so, how? In responding, please comment on the relationship to traditional principles of administrative law.

The current burden of proof requirement is appropriate and needs no modification.

Despite the comments to the contrary, the burden of proof has appropriately been placed on the proponents of an exemption. As we have stated in our initial submission and throughout these reply comments, the point of the rulemaking proceeding was to provide a “fail-safe” for specific, noninfringing uses that may be inhibited as a result of the use of a particular TPM. Only the parties that will know what those uses may be are the people who wish to exploit those uses. The Copyright Office simply cannot be expected to anticipate the various uses that might be considered noninfringing or otherwise permitted in relation to all the different ways in which copyrighted content is made available using TPMs. But that is what would be required in order for the agency to itself put forward a proposed rule for comment. Soliciting the requests from those who know the uses and can explain how a particular TPM is inhibiting each particular use is the only rational approach to conducting this rulemaking. In adopting this approach, the Register has taken elements of “notice and comment” rulemaking and administrative “adjudication” and fashioned a procedure that is, in the words of the legislative history, “consistent with the Administrative Procedures Act.”

The House Commerce Committee report states that the goal of the proceeding is to “assess whether the implementation of technological protection measures . . . is adversely

affecting the ability of individual users to make lawful use of copyrighted works.” It goes on to suggest that the rulemaking “will solicit input to consider a broad range of evidence of past or likely adverse impacts.” As the goal is to look at individual users’ ability to make lawful use, the Copyright Office has correctly solicited proposed exemptions from the public as only an individual knows whether his or her particular noninfringing use is being adversely affected.

As to the specific issue of burden of proof, general principles of administrative law (most clearly established in Section 556 of the Administrative Procedures Act (the “APA”) provide for the burden of proof to be on the proponents of a rule or order. *See* APA § 556 (“Except as otherwise provided by statute, the proponent of a rule or order has the burden of proof.”). While the APA rules for an adjudication are not binding here they can constitute guidance for what is otherwise a hybrid proceeding that includes a hearing. This is not particularly different from the agency itself bearing the burden of demonstrating that a rule is supported by substantial evidence and is not otherwise an abuse of the discretion. Again, the approach taken here is something of a hybrid, but is completely consistent with analogous APA principles.

A hearing setting where the proponents bear the burden of proof allows a careful examination of each claim of noninfringing use that may vary widely. *See NLRB v. Bell Aerospace Co.*, 416 U.S. 267, 294-95 (1974) (affirming the NLRB’s decision to create the rulemaking through an adjudication as the duties of a position “vary widely depending on the company or industry. It is doubtful whether any generalized standard [established in a notice and comment] could be framed which would have more than marginal utility.”) In the recent past proceedings, claims have been broadly categorized for educational uses, derivative uses and consumers’ preferences for space-format shifting. Every alleged noninfringing use has to be examined at a minimum, in light of the four specific statutory factors (along with the fifth factor

of “any other relevant consideration”) to determine whether the use is being adversely affected. Accordingly, any more generalized exemption that would be expected from a strict notice and comment rulemaking would be of little value. A more generalized exemption would become the proverbial “exception that swallowed the rule.”

The Librarian and Register have correctly proceeded with caution to develop specific exemptions on a case-by-case basis, ensuring that each exemption was warranted following a review of the statutory factors. They have done so by exercising an agency’s prerogative to choose how best to implement a rulemaking. *See SEC v. Chenery Corp.*, 332 U.S. 194, 202-03 (1947) (explaining that agencies must enjoy significant discretion to choose between rulemaking and adjudication); *NLRB v. Bell Aerospace Co.*, 416 U.S. 267, 295 (1974) (holding that the choice between rulemaking and adjudication lies within the administrative agency's discretion). That prerogative has led them to include a hearing, and adopt some elements of an APA adjudication, such as the burden of proof, yet not all of the other legal elements including sworn testimony, cross examination and submissions of finding of facts and conclusions of law. *See generally* APA §§ 556, 557. Thus, the Librarian and Register have implemented a rulemaking consistent with the statute, its legislative history and principles of administrative law.

5. Please provide additional suggestions to improve the rulemaking process.

Certain comments seek to turn the process on its head. Congress intended the general rule to be a prohibition on circumvention so that TPMs could be used to enable and encourage markets for content to be distributed in digital form. The rulemaking proceeding was intended as an ‘escape valve’, and not intended to replace the prohibition against circumvention. The House Commerce Committee explained, “This [“fail-safe”] mechanism would monitor developments in the marketplace for copyrighted materials and allow the enforceability of the prohibition *to be selectively waived, for limited time periods*, if necessary to prevent a diminution in the

availability to individual users of a particular category of copyrighted materials.” H.R. Rep. No. 105-551 at 36 (emphasis added). The fact that proponents need to make certain showings, which need to be supported by specific evidence to demonstrated use cases (and, in the current interpretation of the statute, specific users) simply make the rulemaking consistent with the statutory scheme. Even the House Commerce Committee, which, of all the committees that considered this legislation, was most concerned about the alleged adverse effects on fair use, instructed that “[i]f the rulemaking has produced insufficient evidence to determine whether there have been adverse impacts with respect to particular classes of copyrighted materials, the circumvention prohibition goes into effect with respect to those classes.” H.R. Rep. No. 105-551 at 38.

As we have pointed out throughout our comments, the system is working very well – markets for content distributed in digital form have proliferated; courts have upheld TPMs against circumvention; and consumers have benefited from the widespread availability of new forms and formats of content.

Antitrafficking Prohibitions

6. Please assess the role of the antitrafficking provisions of sections 1201(a)(2) and 1201(b) in deterring copyright infringement, and address whether any amendments may be advisable.

As stated in our initial comments, permitting a legitimate foothold for circumvention tools and products would turn the entire DMCA structure upside down and undermine the utility of the statute and all of the benefits that have accrued from it. As already discussed in our response to Question 1, the DMCA has created a robust marketplace where consumers have reasonable and affordable choices in offerings of high quality content. The antitrafficking prohibition has been crucial in keeping circumventing products and tools out of the legitimate

commercial marketplace; thereby, preserving the stability and predictability that currently exists in the marketplace.

7. Should section 1201 be amended to allow the adoption of exemptions to the prohibition on circumvention that can extend to exemptions to the antitrafficking prohibitions, and if so, in what way? For example, should the Register be able to recommend, and the Librarian able to adopt, exemptions that permit third-party assistance when justified by the record?

Even circumvention tools and products established under the auspices of a Librarian-approved exemption would threaten the marketplace as it would create a legitimacy for these tools and products that they currently do not enjoy. In practice, this legitimacy would make it extremely difficult to distinguish between tools that are created and used for the exemptions and tools that are used for prohibited purposes and would enable the makers of tools that are really for the undermining of a TPM generally to claim that they have a legitimate basis for distributing their circumvention tools.

Permanent Exemptions

8. Please assess whether the existing categories of permanent exemptions are necessary, relevant, and/or sufficient. How do the permanent exemptions affect the current state of reverse engineering, encryption research, and security testing? How do the permanent exemptions affect the activities of libraries, archives, and educational institutions? How might the existing permanent exemptions be amended to better facilitate such activities?

DVD CCA and AACS LA have no comment on the permanent exemptions at this time.

9. Please assess whether there are other permanent exemption categories that Congress should consider establishing—for example, to facilitate access to literary works by print-disabled persons?

DVDCCA and AACS LA object to creating any new permanent exemptions based on the mere premise that the Librarian has previously granted the exemption. As previously mentioned in our response to Question 3, the rulemaking is a “fail-safe” mechanism creating a temporary waiver of the circumvention prohibition that is decided *de novo* every three years, so that the

determination of an exemption “can be fully considered and fairly decided on the basis of real marketplace developments that may diminish otherwise lawful access to works.” H.R. Rep. No. 105-551 at 36. We have already seen marketplace developments that affect the determination. For example, the improved quality of screen capture technology over the course of the most recent past proceedings has mitigated the alleged adverse effects on some noninfringing use and influenced the Register’s recommendation on whether certain exemptions should be granted and the scope of those exemptions that were granted. Consequently, creating a permanent exemption on the mere fact that an exemption was previously granted would result in creating and maintaining exemptions that are not responsive to the marketplace and eventually any such permanent exemptions risk becoming wholly divorced from the circumstances that gave rise to their perceived need as the marketplace evolves around these “permanent” exemptions.

Other

10. To what extent and how might any proposed amendments to section 1201 implicate the United States’ trade and treaty obligations?

DVD CCA and AACS LA would disagree with these assertions that any amendments to section 1201 would not violate the trade and treaty obligations of the United States. When Congress approved the DMCA, it agreed with the Executive Branch negotiators, who had helped create the WIPO Internet treaties, that compliance with the treaties required the full force and effect of the new law. The treaties obligate the United States to provide “legal protection and effective legal remedies” against circumventing technological measures. *See* WIPO Copyright Treaty, Art. 11 (Dec. 20, 1996); WIPO Performances and Phonograms Treaty, Art. 18 (Dec. 20, 1996). The Senate Report explained that “in order to adhere to the WIPO treaties, legislation is necessary This view is shared by the Clinton Administration.” Senate Judiciary Committee Report, S. Rep. No. 105-190 at 11.

Responding to claims by some professors that the DMCA legislation went beyond copyright law, the House Commerce Committee explained, “the digital environment poses a unique threat to the rights of copyright owners, and as such, necessitates protection against devices that undermine copyright interests. . . . As technology advances so must our laws.” H.R. Rep. No. 105-551 at 25.

The Commerce Committee Report went on to state:

To provide meaningful protection and enforcement of the copyright owners’ right to control access to his or her copyrighted work . . . , the [antitrafficking provision protecting access controls] supplements the [prohibition against circumventing access controls] with prohibitions on creating and making available certain technologies, products and services used, developed or advertised to defeat technological protection measures that protect against unauthorized access.

H.R. Rep. No 105-551 at 38. The Committee Report noted that “[p]aralleling [the antitrafficking provision protecting access controls], [the antitrafficking provision protecting copy controls] seeks to provide meaningful protection and enforcement of copyright owners’ use of technological protection measures to protect their rights by prohibiting the act of making or selling the technological means to overcome these protections” *Id.* at 39. Thus, Congress intended the antitrafficking provisions to constitute part of a comprehensive scheme of “effective legal remedies” required by the treaties.

Date: April 1, 2016

Respectfully submitted,

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